

SpectrumReady Digital Guide

The Autism Insurance Battle Guide

How to Get Your Child's Therapy Covered — Fighting Denials, Winning Appeals, and Knowing Your Rights

\$37

SpectrumReady

spectrumready.com

Important Notice — Please Read Before Proceeding

Educational Information Only. This guide is for general informational and educational purposes only. It does not constitute legal, financial, or medical advice. The information in this guide is not a substitute for advice from a licensed attorney, financial advisor, healthcare provider, or other qualified professional.

No Professional Relationship. Reading this guide does not create an attorney-client, financial advisor-client, or any other professional relationship between you and SpectrumReady.

Time-Sensitive Information. Government benefit amounts, income thresholds, and program eligibility rules change regularly. Dollar figures and thresholds in this guide reflect information as of 2025. Always verify current amounts and rules directly with the relevant federal or state agency before making any decisions.

Individual Circumstances Vary. Eligibility for the programs discussed depends on your individual circumstances. This guide describes how programs generally work — not whether you or your child specifically qualifies.

Consult Professionals. For decisions about your child's specific situation — including SSI applications, IEP disputes, insurance appeals, or estate planning — consult a qualified special education attorney, disability benefits counselor, or other licensed professional.

Table of Contents

Introduction: Why Insurance Is a Battle — And How to Win It	3
Part 1: Your Legal Rights — Federal and State Law	4
Part 2: Know Your Insurance Plan	7
Part 3: Getting Prior Authorization	9
Part 4: The Five Types of Denials and How to Fight Each	11
Part 5: The Letter of Medical Necessity	14
Part 6: The Complete 4-Level Appeal Process	16
Part 7: State-by-State Mandate Summary	20
Part 8: When Insurance Isn't Enough	22
Master Insurance Tracker	24

Introduction: Why Insurance Is a Battle — And How to Win It

ABA therapy for autism costs \$50,000–\$150,000 per year. Speech therapy, occupational therapy, and other interventions add tens of thousands more. Without insurance coverage, most families cannot access the intensive services their children need.

Here's the truth: your insurer is legally required to cover autism treatment in most cases. But insurance companies routinely deny, delay, and limit coverage in ways that are illegal. They do it because most families don't know their rights and don't appeal.

This guide teaches you to fight back — and win.

THE NUMBERS ON APPEALS

Studies show that 50–60% of insurance denials for autism therapy are overturned on appeal when families pursue them. Most families never appeal. If you appeal nothing else, appeal every denial for your child's therapy.

Part 1: Your Legal Rights

Federal Law: The ACA and MHPAEA

Mental Health Parity and Addiction Equity Act (MHPAEA)

Requires insurers to cover mental health and behavioral health conditions (including autism) no more restrictively than physical health conditions. This means:

- Cannot impose visit limits on ABA if there are no visit limits on physical therapy
- Cannot require higher prior authorization requirements for autism therapy than for other conditions
- Cannot impose higher co-pays for behavioral health than medical/surgical services

Affordable Care Act (ACA)

- Plans sold in the individual/small group market (since 2014) must cover mental health and behavioral health as Essential Health Benefits
- Cannot have annual or lifetime dollar limits on EHB coverage
- Cannot deny coverage based on pre-existing conditions (including autism)

State Autism Mandates

All 50 states and DC have passed laws requiring most insurance plans to cover autism treatment — including ABA. State laws vary in:

- Which plans must comply (fully insured, small employer, large employer)
- Age limits (some end at 18 or 21)
- Dollar caps (some have annual or lifetime limits)
- Which providers are covered (BCBA vs. BCBA-D vs. BcaBA)

SELF-FUNDED (ERISA) PLANS ARE DIFFERENT

If your employer self-funds its health plan (common at large companies), state autism mandates may NOT apply. Federal law (MHPAEA) still applies. Check your Summary Plan Description — it will say "self-funded" or "ERISA plan" if so. This makes the federal parity argument even more important.

IDEA Requires Schools to Cover Educational Services

Services that are "educationally necessary" must be provided by the school at no cost to you. Insurance can cover medically necessary therapy *in addition to* school services — not instead of.

Part 2: Know Your Insurance Plan

Documents You Must Have

- ☐ Summary of Benefits and Coverage (SBC) — one-page overview of what's covered
-

- ☐ Certificate of Coverage or Evidence of Coverage — full policy details
- ☐ Summary Plan Description (SPD) — for employer plans
- ☐ Your state's autism insurance mandate (search your state department of insurance website)

Key Questions to Ask Member Services

1. "Does my plan cover ABA therapy for autism? Under what billing codes?"
2. "Is there a visit limit or dollar cap on behavioral health services?"
3. "What is the prior authorization process for ABA therapy?"
4. "What documentation is required?"
5. "Is there a network requirement — must the provider be in-network?"
6. "Does my state's autism insurance mandate apply to my plan?"

Always document: Date, time, name of representative, and exactly what they told you. Follow up every call with a written email or letter confirming what you were told.

Understanding Your Cost Structure

Term	What It Means
Deductible	Amount you pay before insurance starts — often \$500–\$5,000
Out-of-pocket maximum	Maximum you pay per year — after this, insurance covers 100%
Co-pay	Fixed dollar amount per visit (\$20–\$60 typical)
Co-insurance	Percentage you pay after deductible (often 20–30%)
In-network vs. out-of-network	In-network costs significantly less; out-of-network may not be covered

Part 3: Getting Prior Authorization

The Prior Authorization Playbook

For ABA therapy, insurance will require prior authorization before approving services. The process typically goes:

1. Provider submits authorization request with supporting documentation
2. Insurance medical director reviews request
3. Decision within 15 business days (or 3 for urgent)
4. Authorization approved, denied, or modified (fewer hours)

Documentation That Strengthens Authorization

- ☐ Autism diagnosis report (from licensed diagnostician)
- ☐ Letter of Medical Necessity from diagnosing physician or psychiatrist
- ☐ ABA assessment from BCBA with specific treatment recommendations
- ☐ Current functional behavior assessment (FBA)
- ☐ Medical records documenting autism diagnosis and functional impairment
- ☐ Previous progress data if this is a re-authorization request

GET THE DENIAL IN WRITING — ALWAYS

If authorization is denied verbally, demand written notice of the denial with the specific reason and clinical criteria used to make the decision. You cannot effectively appeal a denial you don't have in writing.

Part 4: The Five Types of Denials

Denial Type 1: "Not Medically Necessary"

What they're doing: Claiming the treatment isn't needed or appropriate for your child.

How to fight it:

- Request a peer-to-peer review — your child's physician speaks directly to the insurance medical director
- Submit a Letter of Medical Necessity from the diagnosing physician
- Cite EPSDT (if Medicaid) which requires all medically necessary treatment
- Cite your state's autism mandate — most eliminate the "medical necessity" barrier for autism
- Reference clinical guidelines from BACB, AAP, or the US Surgeon General's report

Denial Type 2: "Experimental or Investigational"

What they're doing: Claiming ABA or other established autism therapies aren't proven.

How to fight it: ABA is not experimental. It has 60+ years of peer-reviewed research and is endorsed by:

- American Academy of Pediatrics
- US Surgeon General
- American Psychological Association
- National Institute of Mental Health

Include these endorsements in your appeal letter. This type of denial is particularly vulnerable to appeal.

Denial Type 3: "Exceeded Visit or Hour Limit"

What they're doing: Capping therapy at fewer hours than recommended.

How to fight it:

- Invoke MHPAEA — if there's no comparable visit limit for physical therapy or other medical treatment, the behavioral health limit violates federal parity law
- Request a "medical exception" or "continuity of care" exception
- File a complaint with your state Department of Insurance for parity violations

Denial Type 4: "Out of Network — No Coverage"

What they're doing: Denying coverage because your provider isn't in-network.

How to fight it:

- Request a network adequacy exception — if there are no in-network ABA providers in your area who can take your child, they must cover out-of-network at in-network rates
- Document all in-network providers who are unavailable (waitlists, not accepting new patients)

Denial Type 5: "Reduction of Hours"

What they're doing: Approving some hours but fewer than recommended (e.g., BCBA recommends 25 hours, insurer approves 10).

How to fight it:

- Request the specific clinical criteria used to determine the hour limit
- Provide a counter-report from the BCBA explaining why the recommended hours are necessary
- Submit peer-reviewed research supporting the recommended intensity for your child's profile
- Compare to physical health equivalents — parity law applies

Part 5: The Letter of Medical Necessity

What It Is

The Letter of Medical Necessity (LMN) is a physician letter stating that the requested treatment is medically necessary for your child. It is one of the most powerful documents in your arsenal.

Who Writes It

The LMN must come from a licensed physician (developmental pediatrician, psychiatrist, or pediatrician). Your child's BCBA can write the clinical recommendation; the physician signs and submits it.

What a Strong LMN Includes

- ☐ Confirmed autism diagnosis with date, diagnostic tool used, and severity level
-

- ☐ Specific functional impairments (with examples and data)
- ☐ Current treatment being requested (e.g., "40 hours/week ABA therapy")
- ☐ Clinical rationale citing research and guidelines
- ☐ Statement that without this treatment, the child's condition will deteriorate or fail to improve
- ☐ Prior treatments tried and outcomes (if applicable)
- ☐ Signature, credentials, contact information, date

TEMPLATE LANGUAGE FOR LMN

"[Child name] carries a diagnosis of Autism Spectrum Disorder (Level [X]), established by [evaluation type] on [date]. The diagnosis is associated with significant impairments in [specific areas]. I am requesting authorization for [X] hours/week of [specific therapy] as this level of intensity is medically necessary to address [specific functional needs]. This recommendation is consistent with published guidelines from the American Academy of Pediatrics and the evidence base for intensive early behavioral intervention. Without this level of care, [child's name]'s functional deficits are expected to [worsen/fail to improve]."

Part 6: The Complete 4-Level Appeal Process

Level 1: Internal Appeal

What it is: Formal written appeal to the insurance company's internal review department.

Deadline: Generally 180 days from the denial notice.

What to include:

- Written appeal letter citing specific legal basis (state mandate, MHPAEA, ACA)
- Letter of Medical Necessity
- Supporting clinical documentation
- Evidence from clinical literature supporting the treatment

Timeline: Non-urgent: 30 days. Urgent/concurrent care: 72 hours to 30 days.

Level 2: External Independent Review

What it is: Review by an independent organization not affiliated with your insurer.

Your right: Required by ACA for most plans. Request it when internal appeal is denied.

Why it matters: External reviewers overturn insurance denials at rates significantly higher than internal appeals. The insurance company must accept the external reviewer's decision.

Level 3: State Regulatory Complaint

What it is: Formal complaint to your state's Department of Insurance.

When to use: Violations of state autism mandates or parity laws.

Impact: State regulators can fine insurers and require coverage — and insurance companies know this.

Where to file: Your state's Department of Insurance website.

Level 4: Federal Complaint or Legal Action

What it is: ERISA complaint to US Department of Labor (employer plans), or legal action through an attorney.

When to use: Systematic parity violations, bad faith denials after exhausting other options.

Finding attorneys: Many disability and insurance attorneys work on contingency. Search for "health insurance appeal attorney" in your state, or contact your state's Protection & Advocacy organization.

Part 7: State-by-State Mandate Summary

State Group	Coverage Level	Age Limit
Most comprehensive (CA, NY, TX, FL, IL, PA)	No dollar cap, all behavioral services	Varies (18–21 most common)
Strong mandates (most other states)	ABA required; some dollar caps	Typically 18 or 21
Limited mandates	Diagnosis/assessment only; some older laws	Varies

Find your state's specific law: Search "[Your State] autism insurance mandate" or visit the Autism Speaks website's insurance state resource guide.

Part 8: When Insurance Isn't Enough

Supplemental Funding Sources

Source	What It Covers
Medicaid / CHIP	Must cover all medically necessary care (EPSDT) for children under 21
HCBS Waiver	Services insurance and Medicaid don't cover — get on waiting list NOW
School district (IDEA)	Educationally necessary therapy at no cost
Private foundations	Autism Care Today, ACT Today! — gap-fill grants
Hospital financial assistance	Many providers have sliding-scale or charity care programs

Master Insurance Tracker

Field	Your Information
Insurance company name	
Member ID number	
Group number	
Member services phone	
Appeals department phone/fax	
ABA prior auth status and dates	
Annual deductible / met to date	
Out-of-pocket maximum / met to date	
Current open appeals	
State insurance department contact	

Key Resources

Resource	Contact
Your state Insurance Department	Search "[state] department of insurance"
Autism Speaks Insurance Resource	autismspeaks.org/insurance-coverage
Patient Advocate Foundation	patientadvocate.org
US Dept of Labor (ERISA complaints)	dol.gov/agencies/ebsa

SpectrumReady

Empowering autism families with the knowledge they deserve.

spectrumready.com

support@spectrumready.com

This guide is for informational purposes only and does not constitute legal, financial, or medical advice. Program rules and benefit amounts are subject to change — verify current information with the relevant agency. For complex situations, consult a qualified professional.

© 2025 SpectrumReady. All rights reserved. For personal use only. Not for redistribution or resale.